### (1) The Average Propensity to Consume:

The average propensity to consume is the ratio of consumption expenditure to any particular level of income." Algebraically it may be expressed as under:

$$APC = \frac{C}{Y}$$

Where,

C= Consumption

Y = Income

### (2) The Marginal Propensity to Consume:

The marginal propensity to consume may be defined as the ratio of the change in the consumption to the change in income. Algebraically it may be expressed as under:

$$MPC = \frac{\Delta C}{\Delta Y}$$

Where,

ΔC= Change in Consumption

ΔY = Change in Income

MPC is positive but less than unity

$$0 < \frac{\Delta C}{\Delta Y} < 1$$

### (3) The Average Propensity to Save (APS) :

The average propensity to save is the ratio of saving to income.

APS is the quotient obtained by dividing the total saving by the total income. In other words, it is the ratio of total savings to total income. It can be expressed algebraically in the form of equation as under

$$APS = \frac{S}{Y}$$

Where,

S= Saving

Y=Income

### (4) The Marginal Propensity to Save (MPS) :

Marginal Propensity to Save is the ratio of change in saving to a change in income.

MPS is obtained by dividing change in savings by change in income. It can be expressed algebraically as

$$MPS = \frac{\Delta S}{\Delta Y}$$

ΔS = Change in Saving

ΔY= Change in Income

Since MPC+MPS=1

MPS=1-MPC and MPC = 1 - MPS

Generally the average ie APC is expressed in percentage and the MPC in fraction.